

INDUSTRY COMMON DEMAND vs CAPACITY PROTOCOL

1. Introduction

The industry focus is to operate a full schedule on time each and every day providing the best possible service to the consumer. Predictable stable operations for all the users.

As runways and airspace, particularly in the South East, operate closer to capacity the ability to fly the full schedule safely within the operating day when events restrict capacity becomes increasingly challenging and evidence from recent events suggest increasingly less likely.

The industry has an interest to explore how to avoid short notice cancellations and terminal crowding to reduce flight operations over running into the night and to explore how recovery can be made as quickly as possible.

A culture change is required to achieve this as there are currently no legal powers to compel airlines to cancel flights in advance of a weather event, airlines are operating in a competitive market and different airlines have different business models and schedule issues.

To avoid large scale short notice cancellations a voluntary Demand Vs Capacity protocol is suggested.

Events may be forecast or may occur without notice. The objective is to fly as much of the schedules as is possible whilst minimising disruption, keeping all stakeholders informed. The DvC process should encourage fairness whilst allowing airlines to make their own operational decisions where possible.

2. Triggers

The objective of the protocol is to minimise disruption in a planned environment in advance of the operational day, normally the day before (Day -1). In all cases the first response to an event (where demand is expected to exceed capacity) would be to recover capacity through the effective deployment of mitigating measures and inbuilt business resilience. The level of mitigation will vary accordingly and a two level approach is proposed.

The **first** level of mitigation will involve Air Traffic Flow Management (ATFM) by the local ANSP to align demand with capacity on the airfield and where necessary a fixed response from the airline community in line with their existing internal processes, such as operational cancellations, consolidation of services and managing a late running program.

The **second** level of mitigation will only be implemented where a tactical response by the ANSP and the airlines would not achieve the required balance between capacity and demand because of the scale and duration of the capacity loss. The **second** level of mitigation will be decided by the DvC group at the Airport following the established DvC process and using DvC triggers. An example of an event requiring second level mitigation including demand reduction would be the high risk of prolonged fog forecast for the following day.

3. Process

The DvC focal point is likely to be the Airport Duty Manager (ADM), Airfield Operations Duty Manager (AODM) or equivalent, for the purposes of this common protocol the focal point will be described as the



AODM.

An assessment will be made by the AODM on forecasted issues such as Weather, Major assets failure, Air Traffic Control restrictions and other contributing factors. The AODM will need to be informed by suitable quality forecasting and modeling tools. A risk-based approach using measures of likelihood and impact will assess the risk of possible disruption and support the decision on intervention.
Depending on the severity of the event and level of capacity available, the airport will recommend to Airlines schedule intervention based on previous events of a similar nature. Clearly, the event may not always materialise, and reviews will take place to learn from each decision.

The timings of all conference calls and intervention decisions will be described in local process. Due to the nature of certain weather phenomena on occasions it may be prudent to delay the final intervention decision until later in the day to allow further model re-runs to be interrogated. In all events the final decision must be promulgated by 17.00(L).

For example an event could be –

- ATM intervention or Departure restriction for the Airports indicating significant schedule slippage resulting in excess number of night movements (typically 10 or more).
- An arrival flow rate set 25% below the declared arrival schedule for 4 hours or more.
- High/Medium High forecast risk of fog for more than 3 hours during operating hours
- Snow forecast with accumulations and airfield resources activated.
- Combination of the above

The airlines that are required to adhere to the capacity reduction, will be agreed at the individual airports dependent upon their schedule profile. Eg It could be airlines operating 5 or more runway movements per day, an agreed profile across the top 20 operators, or indeed all operators

In order to maintain flow, stand availability and respective aircraft and crew positioning, Airlines will be EXPECTED to adhere to the resulting revised operating plan.
It could be that if airlines don't adhere to the voluntary intervention then the airport could consider operational priorities or variable charging schemes within their conditions of use to encourage positive behaviors and fairness.

When appropriate, airlines may request consideration to re-time arrivals and/or departures outside the window of schedule intervention. The number (if any) of re-times available will depend on:
1. the window of the schedule intervention & recovery period;
2. the confidence in the weather forecast;
3. the availability of Night Jet Movements at the designated Airport.
4. the airlines schedule as of 06.30(L) on the day before the event (MAYFLY sheet).

The airlines will make requests for retimes to the AODM who will consider these as part of the proposal for reducing the demand. The AODM will use a fair and transparent process to review and any accepted requests should be followed up with written confirmation to the airline from the AODM. The airline would then be expected to delay the arrival or departure time of the flights in question on the day of operation to meet the agreed retime(s). ACL will provide oversight to this process to ensure compliance with any relevant slot legislation.

4. Responsibilities

- The AODM shall be the Chair and act as the group co-ordinator. The AODM shall brief the DvC group so that they may understand all relevant data on planned flows, timings, predicted delays and any other



information relevant to the forecast event on which to base decisions on capacity reductions or revisions. The AODM shall present various proposals with different reduction levels that they have assessed to achieve the required outcome. The AODM shall support the group in coming to a consensus view of the overall actions to be taken. They will work with individual airlines and record all actions taken, e.g. cancellation, re-time etc. They shall provide the CAA with a list of cancelled flights and any other actions taken by the airlines including retimes.

- Local ANSP and NATS (En Route) shall advise the group on the status of inbound flow to the Airport, NATS (En Route) will also take direction from the group on any alternate action required.

- CAA shall provide a point of reference via their own website for airlines to publish cancellations undertaken to support a DvC schedule intervention. This is required as a central record to support airlines and the airport in any follow up activities. They may also be able to provide guidance when developing the process to ensure that consumer protection principles and obligations are maintained.

- Met Office shall provide the latest weather forecast information as well as an interpretation of all available weather information to the group where this could have a material impact on the quality of the group's decisions.

- ACL will review cancellations after the event and determine if alleviation would fall within the EU Slot Regulation. Alleviation is not guaranteed and if alleviation is not granted then the cancellation will need to be within the 20% afforded to airlines for such events. ACL shall be provided the list of cancellations and any retime requests made at the close of play on the day before a DvC event by the AODM.

- Network Manager although not playing an active role in decision making, can provide participants with an update of any pan European network factors or events that might be worth considering for the group.

- Airline members shall make every effort to attend the DvC conference calls and play an active role in the decision making. All airlines will be bound by the DvC decision whether participating in the call or absent from it. The airlines are expected to review the information and proposals provided by the Airport and agree on the necessary course of action collectively. The airline representatives are accountable for communicating decisions made to their customers and shall ensure that whatever decisions are made, their airline uses best endeavors to comply including the cancellation of both flight plans and slots for operations that will no longer take place. Airlines can cooperate within their alliances and joint ventures on cancellations and retimes to meet any requirement for demand reduction. The AODM should be informed of any cooperation and such groups plan to meet any requested action.

Where a demand reduction is required a NOTAM shall be published, which is the notification that the CAA require. The NOTAM will specify the time for cancellations and the percentage required. For flights cancelled within the time boundaries and percentage requirements set out in the NOTAM, the CAA will support the position that flights cancelled proactively as part of the DvC process are done so based on expected airport congestion and therefore fall under the "extraordinary circumstances" exemption for the purposes of EU261.

NOTAM example;
Due to extraordinary events the Airport recommends a reduction of (percentage) in the flying programme for period (date) (Time UTC)



5. Supporting Clarifications

CAA –

Heathrow has an operational resilience licence condition placed upon it by the CAA. The purpose of the licence condition is to secure the availability and continuity of airport operation services at the Airport, particularly in times of disruption, to further the interests of users of air transport services in accordance with best practice and in a timely, efficient and economical manner. Gatwick has similar commitments set out in its conditions of use, as it has moved to a commitments based economic regulatory approach.

The CAA supports reductions in capacity where flights can continue to operate safely and airlines can give advance notice to their passengers. Where flights are cancelled early based on the expected weather conditions, and where it would not be considered safe to operate a full schedule, it is our view that these would be considered to be an extraordinary circumstance and not subject to compensation. It should be noted that this view has not been tested in the Courts.

The CAA is involved in the capacity reduction process at Heathrow as it monitors it's licence condition, and it publishes flights that have been cancelled early as a result of expected weather conditions on its website. This is intended to support the compensation claim process. and does not include flights cancelled on the day.

The CAA would encourage the adoption of standard practices across airports that are not subject to economic licence conditions. Airports will need suitable tools to provide certainty of weather forecasts and schedule reduction requirements across the day. In addition before the CAA could publish a list of flight cancellations it would also require the airport operator to provide evidence that it could support the cancellation.

ACL -

Air carriers are required to operate 80% of the slots in a series held at 31 January or 31 August, as cleared by the Coordinator, in order to qualify for their entitlement to the same series of slots in the next equivalent season. Unless the air carrier can demonstrate to the satisfaction of the Coordinator that a series of slots has been operated, as cleared by the Coordinator, for at least 80% of the time for which it has been allocated, all the slots in that series will be placed in the slot pool, unless the non-utilisation can be justified. Justification can only take place for the specific reason consistent with EU Slot Regulation.

The EU Regulation allows 20% cancellations after 31 January for a summer season and 31 August for the winter season. This 20% is made available to cover cancellations that are not covered by the alleviation afforded under the EU Slot Regulation. It is for the carrier to determine how much of the 20% should be protected for unforeseen events, however ACL will not flex its interpretation of force majeure to accommodate commercial cancellations or events that can be reasonably expected to occur. Alleviation will only be granted if the carrier demonstrates it has taken all reasonable steps to mitigate i.e. the cancellations could not have been avoided if all reasonable measures had been taken and in any case only after the event has occurred and the decision taken will be on a case by case basis.

Nonetheless, a regular and transparent dialogue and exchange of information between the air carriers concerned and the Coordinator, as well as with other relevant stakeholders when applicable is strongly advised for the clarity of the process regarding the interpretation of 'force majeure'.

ACL offers full guidance of the application of force majeure with examples on their website.

